

Northgate Talent Partners LLC

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May 3, 2017

Jennifer Frazier, Chief Operating Officer, Sanchez-Baker

Dear Ms. Frazier,

Thank you for entrusting us with this search. We are glad to set down in writing the assignment we discussed, so that both sides begin from the same understanding. You have asked us to find and help you appoint a new independent director to your board. It is work we care about, and we will carry it with the discretion it deserves.

The search we have agreed

You have asked us to identify and recruit an independent director for Sanchez-Baker, someone whose judgment will strengthen the board on the matters most in front of you. We will build a considered picture of the field, approach the strongest prospects with care, and bring you a short, well-qualified slate to interview. Throughout, we will describe candidates by the seats they hold rather than by name, and nothing about the search will travel more widely than it must. Our work does not end at the introduction; we stay with you through the interviews, the references, and the appointment itself.

Our method is unhurried and thorough. We map the relevant market, weigh each prospect against the specification we settle with you, and reference the finalists properly before any offer is made. Where a strong director is not looking to move, we still make the approach; the best board members are seldom the ones who put themselves forward. You will hear from us on a steady rhythm, not only when there is a milestone to report. A short, strong slate serves you better than a long one, and it is what we aim for.

What the search will ask of you

A search goes best when the client stays close to it. We will ask for an early conversation to agree the specification, prompt feedback as we present candidates, and a single point of contact on your side, which we understand will be you. When we reach interviews, your board's availability tends to set the pace, and we will plan around it, with Jeffrey handling the diaries so that you do not have to. None of this is

heavy; a search of this length asks for a few hours of the board's attention at the right moments, no more.

The people who will do the work

You will be in steady hands. James Grant, our Senior Consultant, will lead the assignment and will be your point of contact on the assessment of candidates; board mandates are his particular strength. Jason Bell, our Research Associate, will run the market mapping and the research bench, and he has a good eye for the strong director who is not on the obvious list. Jeffrey Patterson, our Research Consultant, will manage the candidate conversations and the scheduling, and will make sure no thread goes quiet. I will stay close to the work myself, and I am always glad to take your call.

How we will keep you informed

You will not have to chase us for news. We will send a short written update on a regular cadence, and we will call the moment something needs your judgment, not wait for the next note. When we present the slate, you will have a written read on each candidate, framed by the seat held and measured against the specification we set together. Between updates, Jeffrey Patterson is your point of contact for anything that will not keep.

Our fee and the timetable

This is a retained assignment, at a fixed fee of \$66,000. That figure covers the whole of the search: the research, the approaches, the assessment, and the reference work behind a finalist. We expect the work to run about four months from the day we begin, which will be May 13, 2017. Searches of this kind sometimes move faster and occasionally take a little longer, and we will tell you plainly if the timetable shifts.

How the fee is billed

We bill the retainer in three parts, so that our invoicing follows the progress of the work:

- One third on our commencement of the search,
- A second third when we present the qualified slate for your interviews, and
- The final third on the appointment of a director.

Reasonable out-of-pocket expenses, such as travel to meet a candidate on your behalf, are billed at cost and itemized, and we will clear anything unusual with you before we incur it. Invoices are payable within thirty days of receipt.

The term, and how either of us may end it

The engagement runs until a director is appointed or until we close the search by agreement. Either of us may end it on reasonable written notice. Should you decide to stop the search before it is complete, you will owe us only for the work done to that point and the fees already invoiced, and nothing more. If a concern ever arises on your side, we would want to hear it early and work it through with you.

Confidentiality

Discretion is the heart of how we work. We will hold in confidence all that you share with us about the board, the company, and your reasons for the search, and we will protect the identity of every candidate with equal care. We ask the same of you in return, that the names we bring you stay within the small circle of people who need them. This protects the candidates who trust us with their interest, and it protects the search itself.

The limits of our responsibility

We will bring our full judgment and effort to the assignment, and we choose our words about a candidate with care. We cannot, however, guarantee the future performance of any director you appoint, and our liability to you is limited to the fees paid under this engagement. Where a failing is genuinely ours, we will make it good, and we would not hide behind this clause.

Governing law

This letter, and the engagement it describes, are governed by the laws of the state in which our firm is established. Anything not addressed here we will resolve as we resolve most things, by talking it through in good faith.

If this reflects our understanding, the next step is a simple one. If anything in these terms would sit better a different way, tell me before you sign; otherwise please countersign below and return one copy to me. On receipt we will schedule the kickoff and begin the market work. I am delighted that you have chosen us, and I look forward to getting started.

Kelly Chavez

Managing Director

Date: May 3, 2017

Jennifer Frazier

Chief Operating Officer, Sanchez-Baker

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